

- 5) Within the theoretical framework of competitive labour markets, what is the expected effect of the minimum wage?
- A) to make the workers better off
 - B) to reduce employment below the level that would otherwise exist
 - C) to make the workers who are retained less productive than what would otherwise be the case
 - D) to shift the demand for low-skilled workers to the left (a fall)
 - E) to cause a shortage of workers at the going transactions wage

- 6) Which of the following statements regarding monopsony is false?
- A) A monopsonist is likely to face a fairly inelastic supply of labour.
 - B) A monopsonist faces no constraints as it sets wages.
 - C) A monopsonist is likely to lose some of its market power in the long run.
 - D) Monopsony is more likely in situations of unskilled labour.
 - E) Monopsony is more likely in situations of immobile labour.

- 7) What is the primary difference between a monopsonist and a firm which operates in a perfectly competitive labour market?
- A) The monopsonist is likely to be more profitable.
 - B) In order to recruit another worker, the monopsonist incurs a larger increase in labour costs.
 - C) In order to recruit another worker, the monopsonist incurs a smaller increase in labour costs.
 - D) The monopsonist hires such that the marginal revenue product of labour is equal to the marginal labour cost, but the non-monopsonist does not.
 - E) The labour supply curve is irrelevant for the monopsonist.

- 8) If the government sets a minimum wage for workers that is above the competitive wage,
- A) Wages would fall as firms try to reduce labour costs.
 - B) Unemployment would decrease through a dis-employment effect.
 - C) Unemployment would increase through a dis-employment effect.
 - D) The total wage bill must rise.
 - E) The total wage bill must fall.

Answer Key

- 1) B
- 2) A
- 3) C
- 4) B
- 5) B
- 6) B
- 7) B
- 8) C